

WARNING

Investors beware

Ratio analysis must be used over time—at least four years—to understand how a company has reached its current position, not just what the position is. For instance, if debt has suddenly gone up, it could be because the company is branching out into new areas of potential profit, or to limit the damage of a poor past decision.

10–14%

the minimum return on investment (ROI) needed to fund a company's future



Liquidity ratios

This group of ratios reveals whether or not a company has enough cash or equivalent assets to meet its debt repayments. An example is the working capital ratio (also a measure of efficiency), which indicates whether a company has enough short-term assets to cover its short-term debt.

$$\text{WORKING CAPITAL} = \frac{\text{CURRENT ASSETS}}{\text{CURRENT LIABILITIES}}$$

Other liquidity ratios

- › **Cash ratio** is measured as total cash (and equivalents) / current liabilities. It shows whether a company's short-term assets could repay its debts. A high ratio is seen as favorable.
- › **Quick ratio (acid-test ratio)** is measured as current assets minus inventories / current liabilities. It shows how easily a company can repay short-term debt from cash. The higher the ratio, the more easily it can pay.



Solvency ratios

While liquidity ratios look at a company's short-term ability to meet loan repayments, solvency ratios indicate the likelihood of a company being able to continue indefinitely with enough cash or current assets to pay its debts in the long run. An example is the debt to equity ratio.

$$\text{DEBT TO EQUITY RATIO} = \frac{\text{TOTAL SHAREHOLDERS' EQUITY}}{\text{TOTAL ASSETS}}$$

Other solvency ratios

- › **Interest coverage ratio** is measured as EBIT (earnings before interest and tax) / interest expense. It indicates how easily a company can pay the interest on its debts. The higher the ratio, the more easily they can pay.
- › **Debt ratio** is measured as total liabilities / total assets. It indicates the percentage of the company's assets that are financed by debt. A low ratio is considered favorable.



Investment valuation ratios

These ratios are typically used by investors to gauge the returns they are likely to get if they buy shares in a company. An example is the dividend payout ratio. It indicates how well earnings support the dividend payments—more mature companies tend to have a higher payout ratio.

$$\text{DIVIDEND PAYOUT RATIO} = \frac{\text{YEARLY DIVIDEND PER SHARE}}{\text{EARNINGS PER SHARE}}$$

Other investment valuation ratios

- › **Net profit margin ratio** is measured as profit after tax / revenue. Another measure of a company's profitability, it is also useful for comparing a company with competitors. The higher the ratio, the more profitable the company.
- › **Price to earnings ratio** is measured as market value per share / earnings per share. It indicates the value of the company's share price. A high ratio demonstrates good growth potential.